

Tech Mahindra Ltd

TECHM

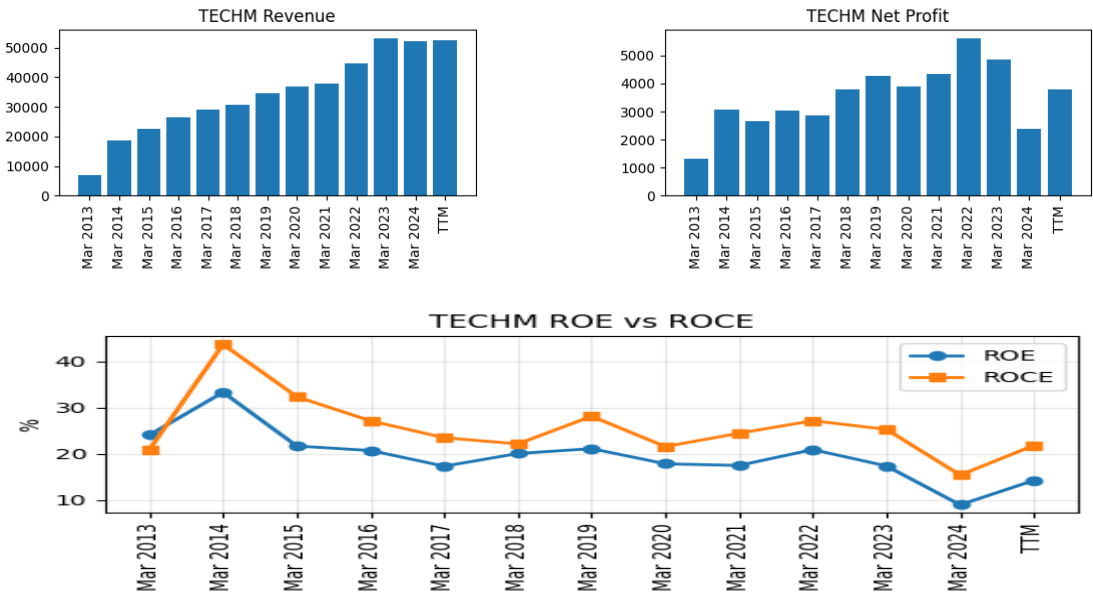
Key Financial Metrics

ROE 14.27%	ROCE 21.85%	Debt / Equity 0.08
Revenue CAGR 20.20%	FCF Conversion 266.00%	Quality Score 43.61

Company Profile

Company	Tech Mahindra Ltd
Sector	Information Technology
Industry	IT Services
Market Cap (■ Cr)	3,021,095.64
P/E Ratio	57.40
P/B Ratio	7.43
Dividend Yield	0.64%

Financial Performance



AI Investment Summary

Tech Mahindra Ltd currently faces multiple financial challenges that increase investment risk. It currently has moderate profitability, strong capital efficiency, rapid revenue growth, high quality cash-flow quality and conservative leverage. The overall financial quality score is 43.6/100. Key strengths include: Strong free cash flow generation over 5 years signals healthy business fundamentals.; Revenue growing at above 15% CAGR over 5 years reflects strong business momentum.; Very high interest coverage ratio reflects negligible financial stress from debt servicing.. Key risks include: No major financial weakness was identified by the rule engine, although ongoing monitoring remains important.. Investment recommendation: Reduce. Overall, the company appears to be financially weak with elevated investment risk.

Pros & Cons

Pros	Cons
- Strong free cash flow generation over 5 years signals healthy business fundamentals. - Revenue growing at above 15% CAGR over 5 years reflects strong business momentum. - Very high interest coverage ratio reflects negligible financial stress from debt servicing.	No major financial weakness was identified by the rule engine, although ongoing monitoring remains important.

Investment Recommendation

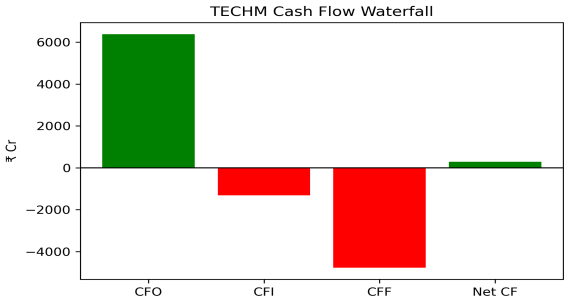
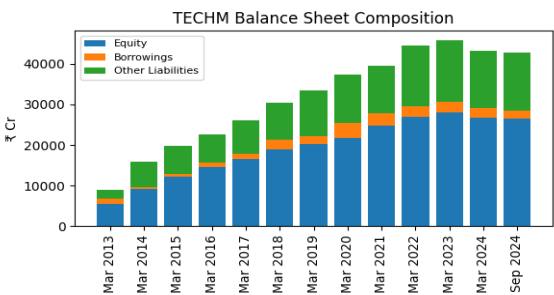
Recommendation	REDUCE
Risk Level	HIGH
Confidence	LOW

Recommendation Reason:

The recommendation is based on an adjusted financial score of 43.6/100, supported by 3 identified strengths, 1 identified risks, and cash-flow quality rated as High Quality.

Adjusted Score: 43.6

Balance Sheet & Cash Flow



Financial Health

Profitability	Moderate
Growth	Strong
Cash Flow	Strong
Leverage	Strong

Valuation	Expensive
-----------	-----------

Capital Allocation

Shareholder Returns